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By FRESNO RK DEPUTY

EXHIBIT A
ORDINANCE SUBMITTED TO THE VOTERS

ORDINANCE NO. 2026-06

AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF SANGER, CALIFORNIA, AMENDING AND RESTATING ARTICLE V OF CHAPTER 66 OF THE SANGER MUNICIPAL CODE RELATING TO THE TRANSIENT OCCUPANCY TAX

WHEREAS, Revenue and Taxation Code section 7280 authorizes a city to levy a tax on the privilege of occupying a room or other living space in a hotel, inn, tourist home or house, motel, or other lodging for a period of 30 days or less; and

WHEREAS, the City of Sanger currently imposes a transient occupancy tax pursuant to Article V of Chapter 66 of the Sanger Municipal Code; and

WHEREAS, the City's existing transient occupancy tax ordinance is based on a long-standing municipal tax structure and contains administrative provisions that remain useful for tax collection, enforcement, appeals, refunds, confidentiality, and successor liability; and

WHEREAS, the manner in which transient lodging is advertised, reserved, paid for, and administered has changed substantially with the growth of short-term rentals and online booking platforms, including platforms commonly known as Airbnb, VRBO, and similar marketplaces; and

WHEREAS, the City Council desires to amend and restate Article V in its entirety in order to preserve the City's existing transient occupancy tax framework while modernizing the ordinance to apply expressly to short-term rentals, vacation rentals, home-sharing arrangements, and other similar transient lodging accommodations; and

WHEREAS, Senate Bill 346, Chapter 751 of the Statutes of 2025, added Government Code section 50990 et seq., known as the Short-Term Rental Facilitator Act of 2025, and authorizes a city that adopts an ordinance making that Act applicable within its jurisdiction to require short-term rental facilitators to provide certain information, include local license and transient occupancy tax certification information in listings, and submit to audit or examination where the facilitator is responsible for collecting and remitting transient occupancy tax; and

WHEREAS, the Legislature expressly recognized in Government Code section 50996 that the Short-Term Rental Facilitator Act does not preempt local agencies from adopting ordinances regulating short-term rentals, short-term rental facilitators, or the payment and collection of transient occupancy taxes in a manner different from the procedures prescribed in that Act; and

WHEREAS, Business and Professions Code section 17568.6, added by Assembly Bill 537 and operative July 1, 2024, requires short-term lodging providers, internet websites, applications, centralized platforms, and other persons to advertise or display short-term lodging rates in a manner that includes all required fees and charges except government-imposed taxes and fees, and to include all government-imposed taxes and fees in the total price to be paid before the consumer reserves the stay; and

WHEREAS, Business and Professions Code section 17568.8, added by Assembly Bill 2202 and operative July 1, 2025, requires disclosures regarding certain additional cleaning-task fees, charges, or penalties for short-term lodging and authorizes enforcement by a city attorney, district attorney, county counsel, or the Attorney General; and

WHEREAS, the City Council desires to include a limited state-law compliance provision in this Article to reference those short-term lodging transparency statutes; and

WHEREAS, the City Council desires to increase the transient occupancy tax rate by eight percentage points, from four percent (4%) to twelve percent (12%), and to expand the type of short-term rental properties it applies to, subject to approval by the voters if and to the extent required by Article XIII C of the California Constitution; and

WHEREAS, the City Council further desires to make clear that payment, collection, or remittance of transient occupancy tax does not authorize, legalize, establish a lawful nonconforming use, or otherwise permit any use of property that is prohibited by the Sanger Municipal Code or any other applicable law.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANGER DOES ORDAIN AS FOLLOWS:

SECTION 1. Amendment and Restatement of Article V of Chapter 66.

Article V of Chapter 66 of the Sanger Municipal Code is hereby amended and restated in its entirety to read as follows:

"ARTICLE V. TRANSIENT OCCUPANCY TAX

Sec. 66-126. - Short title; purpose and intent.

This article shall be known as the Transient Occupancy Tax of the City.

The purpose of this article is to impose a tax upon the privilege of transient occupancy in hotels and other lodging accommodations within the City and to provide for the collection, reporting, administration, and enforcement of that tax.

This article is adopted solely for purposes of taxation and tax administration. Nothing in this article is intended to authorize, legalize, establish a lawful nonconforming use, expand, impair, or alter any land use entitlement, building permit, certificate of occupancy, business license, short-term rental permit, or other approval required by the Sanger Municipal Code or other applicable law.

Sec. 66-126.5 – Authority; State Law.

This article is adopted pursuant to Revenue and Taxation Code section 7280 et seq., Article XIII C of the California Constitution, Government Code section 53724, Elections Code section 9222, and all other applicable law. This article shall be administered consistently with applicable state law. If any provision of this article conflicts with state law, state law shall control.

Sec. 66-127. - Definitions.

Except where the context otherwise requires, the following definitions govern the construction of this article:

"Booking transaction" means any reservation, booking, payment, payment processing, listing, advertising, offer, acceptance, or other transaction involving transient occupancy that is facilitated, directly or indirectly, by a short-term rental facilitator or marketplace.

"City" means the City of Sanger.

"Electronic notice" means notice transmitted by electronic mail or through an electronic filing, payment, or reporting system approved by the tax administrator, to the extent permitted by law.

"Hotel" means any structure, or any portion of any structure, occupied or intended or designed for occupancy by transients for dwelling, lodging, or sleeping purposes, including any hotel, inn, tourist home or house, motel, studio hotel, bachelor hotel, lodging house, rooming house, apartment house, dormitory, public or private club, mobile home or house trailer at a fixed location, campground, campsite, recreational vehicle space, bed and breakfast establishment, single-family residence, dwelling unit, condominium, townhouse, accessory dwelling unit, guest house, home-sharing unit, vacation rental, short-term rental, or other lodging or living accommodation, or portion thereof, offered for transient occupancy for consideration. For purposes of this article, the term hotel is used as a tax term and shall not determine whether a use is permitted under any zoning, building, housing, business license, or other regulatory provision. "Hotel" does not include any facility, occupancy lodging, campsite, space, interest or transaction that the City is prohibited from taxing under Revenue and Taxation Code Section 7280 et seq. or other applicable law, including, without limitation, any campsite in a unit of the state park system to the extent exempt from transient occupancy tax under Revenue and Taxation Code Section 7282.

"Legislative body" means the City Council of the City.

"Marketplace" has the meaning set forth in Government Code section 50991, as that section may be amended, supplemented, renumbered, or succeeded, and includes an internet website, application, software application, online platform, or other physical or electronic place through which the occupancy of a short-term rental is facilitated.

"Occupancy" means the use or possession, or the right to use or possess, any room, rooms, dwelling unit, lodging, campsite, space, accommodation, or portion thereof in any hotel for dwelling, lodging, or sleeping purposes.

"Operator" means the person who is proprietor of the hotel, whether in the capacity of owner, lessee, sublessee, mortgagee in possession, licensee, host, property manager, managing agent, or any other capacity. Where the operator performs functions through a managing agent of any type or character other than an employee, the managing agent shall also be deemed an operator for purposes of this article and shall have the same duties and liabilities as the principal. Compliance with this article by either the principal or the managing agent shall be considered compliance by both to the extent of the compliance actually made.

"Person" means any individual, firm, partnership, joint venture, association, social club, fraternal organization, joint stock company, corporation, limited liability company, estate, trust, business trust, receiver, trustee, syndicate, or any other group or combination acting as a unit.

"Rent" means the total consideration charged, whether or not received, for occupancy of space in a hotel, valued in money, whether to be received in money, goods, labor, credits, property, services, or otherwise, without deduction. Rent includes all mandatory fees and charges required as a condition of occupancy, including mandatory cleaning fees, mandatory resort fees, mandatory linen fees, required utility charges, booking fees charged by the operator, and other mandatory charges imposed by the operator or collected on behalf of the operator as a condition of occupancy. Rent does not include refundable security deposits to the extent actually refundable, separately stated taxes or assessments imposed by a governmental agency on the stay, or separately stated service fees charged by a short-term rental facilitator for marketplace services if the service fee is not paid to or retained by the operator as consideration for occupancy. "Rent" does not include any amount subject to tax under the Sales and Use Tax Law with respect to the sale of food products, including food and beverage products, to the extent excluded from transient occupancy taxation by Revenue and Taxation Code Section 7282.3 or any successor statute.

"Short-term rental" means the occupancy of a home, house, room in a home or house, campsite, dwelling unit, accessory dwelling unit, guest house, condominium, apartment, or other lodging that is not a commercially operated hotel, motel, bed and breakfast inn, or similar transient lodging establishment, for a period of 30 consecutive calendar days or less, and under any other circumstances specified in this article, when facilitated by a short-term rental facilitator or otherwise offered for transient occupancy.

"Short-term rental facilitator" means a person or entity that satisfies the definition of short-term rental facilitator in Government Code section 50991, as that section may be amended, supplemented, renumbered, or succeeded.

"Tax administrator" means the Director of Administrative Services of the City, or the Director's designee, and includes any officer, employee, agent, or contractor authorized by the City to administer or enforce this article.

"Transient" means any person who exercises occupancy or is entitled to occupancy in a hotel by reason of a lease, concession, permit, right of access, license, booking transaction, reservation, or other agreement for a period of 30 consecutive calendar days or less, counting portions of calendar days as full days. Any such person occupying space in a hotel shall be deemed to be a transient until the period of 30 days has expired, unless there is an agreement in writing between the operator and the occupant

providing for a longer period of occupancy and the occupancy is actually for a period longer than 30 consecutive calendar days. In determining whether a person is a transient, uninterrupted periods of time extending both before and after the effective date of this article may be considered.

"Transient occupancy tax review committee" means the committee established pursuant to section 66-155.

Sec. 66-128. - Imposition generally; tax deemed debt to City.

For the privilege of occupancy in any hotel, each transient is subject to and shall pay a tax in the amount of twelve percent (12%) of the rent charged by the operator.

The tax constitutes a debt owed by the transient to the City. The debt is extinguished only by payment to the operator, a short-term rental facilitator authorized or required to collect the tax, or the City.

The tax imposed by this article is a general tax, the proceeds of which shall be deposited in the City's general fund and may be used for any lawful municipal purpose.

The increased rate of the tax and expanded coverage approved by the voters at the November 3, 2026 election shall become operative on the first day of the first calendar quarter beginning after the date on which the ordinance increasing the rate is approved by the voters, unless the City Council establishes a later operative date by resolution.

The tax imposed hereunder shall continue until ended by voters.

Sec. 66-129. - Exemptions from tax; written claim for exemption.

No tax imposed under this article shall be imposed upon:

(1) Any person as to whom, or any occupancy as to which, it is beyond the power of the City to impose the tax provided in this article;

(2) Any officer or employee of a foreign government who is exempt by reason of express provision of federal law or international treaty;

(3) Any occupant for more than 30 successive calendar days, provided that the requirements of this article for nontransient occupancy are satisfied; or

(4) Any occupant whose rent is paid for a hospital room or to a medical clinic, convalescent home, or home for aged people; or

(5) Any occupancy of a campsite in a unit of the state park system to the extent prohibited by Revenue & Taxation Code Section 7282 or any successor statute.

No exemption shall be granted under subsections (1) or (2) except upon a claim made at the time rent is collected, under penalty of perjury, upon a form prescribed by the tax administrator.

Sec. 66-130. - When and to whom payable.

The transient shall pay the tax to the operator or to a short-term rental facilitator that is required or authorized to collect the tax at the time rent is paid. If the rent is paid in installments, a proportionate share of the tax shall be paid with each installment. Any unpaid tax shall be due upon the transient's ceasing to occupy space in the hotel.

If for any reason the tax due is not paid to the operator or short-term rental facilitator, the tax administrator may require that the tax be paid directly to the tax administrator.

Sec. 66-131. - Enforcement of article; administrative rules; schedules for payment.

The tax administrator shall enforce this article and may adopt rules, regulations, forms, instructions, schedules, and procedures, not inconsistent with this article, as may be necessary or desirable to aid in the administration and enforcement of this article.

The tax administrator shall provide schedules for payment of the tax, and such schedules shall eliminate fractions of one cent.

Sec. 66-132. - Security may be required to ensure compliance.

The tax administrator, whenever deemed necessary to ensure compliance with this article, may require any person subject to this article to deposit security in the form of cash, bond, or other security as the tax administrator may determine.

The amount of the security shall be fixed by the tax administrator but shall not be greater than twice the person's estimated average liability for the period for which returns are filed, determined in such manner as the tax administrator deems proper, or $10,000.00, whichever amount is less. The amount of security may be increased or decreased by the tax administrator subject to the limitations in this section.

Sec. 66-133. - Registration of operators required; information to be provided.

Every person engaging, or about to engage, in business as an operator of a hotel in the City shall register with the tax administrator on a form prescribed by the tax administrator within 15 days after commencing business or before accepting transient occupancy, whichever occurs first.

Registration after the effective date of the tax shall not relieve any person from the obligation to pay, collect, report, or remit tax on and after the date on which the obligation arises, regardless of registration.

The registration shall set forth the name under which the person transacts or intends to transact business, the location of each place of business or lodging accommodation, any short-term rental permit or license number required by the City, any platform listing identification numbers known to the operator, and such other information as the tax administrator may require to facilitate collection and enforcement of the tax.

The registration shall be signed by the owner if a natural person; in the case of an association or partnership, by a member or partner; in the case of a corporation or limited liability company, by an officer, manager, member, or other person specifically authorized to sign the registration; and in the case of any other entity, by a person authorized to bind the entity.

Sec. 66-134. - Certificate of authority.

The tax administrator shall, within ten (10) days after registration, issue without charge a certificate of authority to each registrant to collect the tax from the occupant, together with a duplicate for each additional place of business or lodging accommodation of the registrant as determined by the tax administrator.

The certificate shall be no assignable and nontransferable and shall be surrendered immediately to the tax administrator upon cessation of business at the location named, upon sale or transfer of the business, or upon demand by the tax administrator as authorized by this article.

Each certificate and duplicate shall state the place of business or lodging accommodation to which it is applicable and shall be displayed or made available in the manner prescribed by the tax administrator. For a short-term rental, the tax administrator may allow or require electronic display or inclusion of the certificate number in listings, booking materials, or other records.

Each certificate shall state substantially the following:

(1) The name of the operator;

(2) The address of the hotel or lodging accommodation;

(3) The date upon which the certificate was issued; and

(4) That the transient occupancy registration certificate signifies that the person named on the certificate has registered with the tax administrator for purposes of collecting from transients the transient occupancy tax imposed by the City and remitting the tax to the tax administrator. The certificate does not authorize any person to conduct any unlawful business, conduct any lawful business in an unlawful manner, operate a hotel or short-term rental without complying with all applicable laws, or engage in any use requiring a permit, license, entitlement, or other approval from the City or any other governmental agency. The certificate is not a land use permit, short-term rental permit, building permit, certificate of occupancy, or business license.

The payment, collection, or remittance of tax under this article, and the issuance of any certificate under this article, shall not authorize, legalize, establish a lawful nonconforming use, or otherwise permit any use of property that is prohibited by this Code or any other applicable law.

Sec. 66-135. - Collection by operators required; liability of operators.

Every operator maintaining a place of business or offering transient occupancy in the City, the occupancy of which is not exempt under this article, shall collect the tax from the occupant unless the tax is collected and remitted by a short-term rental facilitator pursuant to this article, a collection agreement, or other applicable law.

The tax required to be collected by the operator constitutes a debt owed by the operator to the City.

In all cases of transactions upon credit or deferred payment, the payment of tax to the operator may be deferred in accordance with the credit or deferred payment arrangement, and the operator shall be liable for the tax at the time and to the extent that credits are paid or deferred payments are made in accordance with the rate of tax owing on the amount paid.

Sec. 66-136. - Collection by short-term rental facilitators; operator liability preserved.

A short-term rental facilitator that collects payment for occupancy on behalf of an operator, or that is otherwise responsible for collecting or remitting transient occupancy tax pursuant to this article, a collection agreement, or applicable law, shall collect the tax imposed by this article from the transient and remit the tax to the tax administrator in the manner prescribed by the tax administrator.

A short-term rental facilitator that collects and remits tax under this article shall separately state the tax to the transient to the extent required by this article and applicable law.

An operator remains liable for any tax, penalty, or interest not collected and remitted by a short-term rental facilitator, except to the extent the tax administrator determines that the tax has actually been paid to the City. The City may proceed against the transient, operator, short-term rental facilitator, or any other liable person, singly or in any combination, to collect amounts due.

Sec. 66-137. - Collection practices; separate statement of tax; advertising tax not to be collected or to be refunded.

Each operator and short-term rental facilitator required or authorized to collect tax shall collect the tax imposed by this article to the same extent and at the same time as rent is collected from every transient.

The amount of tax shall be separately stated from the amount of rent charged, and each transient shall receive a receipt, invoice, or other written or electronic statement showing payment of the tax, except to the extent the tax administrator authorizes another method consistent with applicable law.

No operator or short-term rental facilitator shall advertise or state in any manner, whether directly or indirectly, that the tax or any part thereof will be assumed or absorbed by the operator or facilitator, that it will not be added to the rent, or that, if added, any part will be refunded, except in the manner provided by this article.

Sec. 66-138. - Quarterly remittances and returns generally; electronic filing.

The tax imposed by this article shall become due and payable from the occupant at the time of occupancy. All amounts of tax collectible or collected by any operator or short-term rental facilitator are due and payable to the tax administrator quarterly on the first day of the months of April, July, October, and January next succeeding each respective quarterly period and are delinquent after the last day of such months.

On or before the last day of the month following each quarterly period of three months, a return for the preceding quarterly period shall be filed with the tax administrator. The return shall be filed in such form as the tax administrator may prescribe by every operator, short-term rental facilitator, and every person liable for payment of tax under this article during such quarterly period who has not paid the tax and who has not made return regarding the related occupancy that is the subject of tax.

The tax administrator may authorize or require electronic filing of returns, electronic payment of tax, electronic signatures, and electronic submission of supporting records and reports, subject to procedures prescribed by the tax administrator.

Sec. 66-139. - Contents of returns.

Returns shall show the amount of tax collected or otherwise due for the related period and such other information as is required by the tax administrator.

The tax administrator may require returns to show total rents upon which tax was collected or otherwise due, gross receipts of a registered returnee for the period, exemptions claimed, tax collected and remitted by a short-term rental facilitator, deductions authorized by the tax administrator, and an explanation in detail of any discrepancy among such amounts.

Sec. 66-140. - Delivery of returns and remittances.

The person required to file the return shall deliver the return, together with the remittance of the amount of tax due, to the tax administrator at the tax administrator's office or by an electronic method prescribed by the tax administrator.

Sec. 66-141. - Extension of time for filing return and remitting tax.

For good cause, the tax administrator may extend for not more than one month the time for making any return or payment of tax. No further extension shall be granted except by the transient occupancy tax review committee.

Any person to whom an extension is granted who makes return and pays the tax within the period of the extension shall pay, in addition to the tax, interest on the amount thereof at the rate of one-half of one percent per month or fraction thereof on the unpaid balance for the period of the extension to the time of return and payment, which interest shall become a part of the tax.

Sec. 66-142. - Other than quarterly returns and tax payments may be required.

The tax administrator, if deemed necessary to ensure payment or facilitate collection by the City of the amount of taxes in any individual case, may require returns and payment of the amount of taxes for periods other than quarterly periods, to the extent consistent with applicable law.

Sec. 66-143. - Deficiency determinations.

(a) If the tax administrator is not satisfied with any return or returns of the tax or the amount of tax required to be paid to the City by any person, the tax administrator may compute and determine the amount required to be paid upon the basis of facts contained in the return or returns or upon the basis of any information within the tax administrator's possession or that may come into the tax administrator's possession. One or more deficiency determinations may be made for one or more periods.

(b) In making a determination, the tax administrator may offset overpayments, if any, previously made for a period or periods, together with interest on the overpayments, against any underpayment for a subsequent period or periods or against penalties and interest on the underpayments. Interest on underpayments and overpayments shall be computed in the manner set forth in this article.

(c) The tax administrator shall give the operator, occupant, short-term rental facilitator, or other liable person written notice of the determination. Notice may be served personally, by mail, or by electronic notice where authorized by law or by written consent. If by mail, the notice shall be enclosed in a sealed envelope, postage prepaid, and addressed to the person at the address that appears in the records of the tax administrator. Service by mail is complete at the time of deposit in the United States mail.

(d) Except in the case of fraud, intent to evade this article or authorized rules and regulations, or failure to make a timely return, every deficiency determination shall be made and notice thereof mailed or served within four years after the last day of the month following the close of the quarterly period for which the amount is proposed to be determined or within four years after the return is filed, whichever period expires later.

(e) If any operator, short-term rental facilitator, or other liable person fails or refuses to collect the tax, make any report and remittance within the time provided in this article, makes a fraudulent return, or otherwise willfully attempts to evade this article, the tax administrator shall proceed in such manner as deemed best to obtain facts and information on which to base an estimate of the tax due. The tax administrator shall determine and assess against the liable person the tax, interest, and penalties provided for by this article. Notice of the determination shall be given in the manner provided in this section. Such determination and notice shall be made and mailed or served at any time permitted by law in the case of fraud, intent to evade this article or authorized rules and regulations, or failure to file a required return. Any determination shall become final within 30 days after giving notice thereof as provided in this article unless a timely petition for redetermination is filed.

(f) If the tax administrator believes that collection of any tax or any amount of tax required to be collected and paid to the City will be jeopardized by delay, or if any determination will be jeopardized by delay, the tax administrator shall make a jeopardy determination of the tax or amount of tax required to be collected, noting that fact upon the determination. The amount determined is immediately due and payable. If the amount specified in the determination is not paid within ten days after service of notice upon the person against whom the determination is made, the amount becomes final at the expiration of the ten days unless a petition for redetermination is filed within the ten days, and the delinquency penalty and interest provided in this article shall attach to the amount of the tax or the amount of tax required to be collected.

Sec. 66-144. - Redetermination upon petition of aggrieved person.

(a) Any person against whom a determination is made under section 66-143, or any person directly interested, may petition for redetermination within 15 days after service upon the person of notice thereof. If a petition for redetermination is not filed within the applicable period, the determination becomes final at the expiration of the period; provided, however, a petition for redetermination under subsection (f) of section 66-143 shall be filed within ten days after notice.

(b) If a petition for redetermination is filed within the allowable period, the tax administrator shall reconsider the determination and, if the person has requested an oral hearing in the petition, shall grant the person an oral hearing and give the person ten days' notice of the time and place of the hearing. The tax administrator may continue the hearing from time to time as necessary.

(c) The tax administrator may decrease or increase the amount of the determination before it becomes final, but the amount may be increased only if a claim for the increase is asserted by the tax administrator at or before the hearing.

(d) The order or decision of the tax administrator upon a petition for redetermination becomes final 15 days after service upon the petitioner of notice thereof unless appeal of such order or decision is filed with the transient occupancy tax review committee within 15 days after service of such notice.

(e) No petition for redetermination or appeal therefrom shall be effective for any purpose unless, at or before the filing thereof, the amount found due in the original determination is paid or a bond or other security satisfactory to the tax administrator is filed with the tax administrator guaranteeing payment of any amount finally determined to be due.

Sec. 66-145. - Refunds for overpayment of tax, penalties, or interest.

Whenever the amount of any tax, penalty, or interest has been paid more than once or has been erroneously or illegally collected or received by the tax administrator under this article, it may be refunded; provided, a verified claim in writing, stating the specific ground upon which the claim is founded, is filed with the tax administrator within three years from the date of payment.

The claim shall be made on forms provided by the tax administrator. If the claim is approved by the tax administrator, the excess amount collected or paid may be refunded or credited against any amounts then due and payable from the person from whom it was collected or by whom it was paid, and the balance may be refunded to such person or the person's administrators, executors, successors, or assigns as appropriate.

Sec. 66-145.5. – Claims; Exhaustion; Judicial Actions.

(a) No action or proceeding shall be maintained in any court to recover any tax, penalty, interest, fee or other amount paid under this article unless the person seeking recovery first pays the amount alleged to be due and files a written claim for refund with the tax administrator in accordance with this article and all other applicable law.

(b) No action or proceeding shall be maintained in any court to challenge, invalidate, reduce, prevent or enjoin the collection of any tax, penalty, interest, fee, or other amount imposed or collected under this article, except an action for refund after payment of the amount due and exhaustion of the administrative remedies provided by this article.

(c) Failure to file a timely and sufficient claim for refund shall bar any action against the City for recovery of the tax, penalty, interest or other paid amount.

Sec. 66-145.6. – Collection Not Enjoined.

No injunction, writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding to prevent or enjoin the collection of any tax, penalty, interest, fee or other amount required to be paid under this article.

Sec. 66-146. - Confidential nature of returns and business information.

Neither the tax administrator nor any person having an administrative duty under this article shall make known in any manner the business affairs, operations, or information obtained by an investigation of records and equipment of any operator, short-term rental facilitator, or other person visited or examined in the discharge of official duty, or the amount or source of income, profits, losses, expenditures, or any particular thereof set forth or disclosed in any return, or permit any return or copy thereof or any book containing any abstract or particulars thereof to be seen or examined by any person except as authorized by this article or other applicable law.

Successors, receivers, trustees, executors, administrators, assignees, and guarantors, if directly interested and upon submitting written proof of their interest, may be given information as to the items included in the measure and amount of any unpaid tax or amounts of tax required to be collected, interest, and penalties.

Sec. 66-147. - Delinquency in remittance of tax collected; penalties and interest.

(a) Original delinquency. Any operator, short-term rental facilitator, or other person who fails to remit any tax imposed by this article within the time required shall pay a penalty of ten percent (10%) of the amount of the tax in addition to the amount of the tax.

(b) Continued delinquency. Any operator, short-term rental facilitator, or other person who fails to remit any delinquent remittance on or before a period of 30 days following the date on which the remittance first became delinquent shall pay a second delinquency penalty of ten percent (10%) of the amount of the tax in addition to the amount of the tax and the ten percent penalty first imposed.

(c) Fraud. If the tax administrator determines that nonpayment of any remittance due under this article is due to fraud or intent to evade this article, a penalty of twenty-five percent (25%) of the amount of the tax shall be added in addition to the penalties stated in subsections (a) and (b).

(d) Interest. In addition to the penalties imposed, any operator, short-term rental facilitator, or other person who fails to remit any tax imposed by this article shall pay interest at the rate of one-half

of one percent per month or fraction thereof on the amount of the tax, exclusive of penalties, from the date on which the remittance first became delinquent until paid.

(e) Penalties merged with tax. Every penalty imposed and such interest as accrues under this article shall be merged with and become a part of the tax required to be paid.

Sec. 66-148. - Procedure for collection of delinquent taxes.

If any person is delinquent in payment of the amount required to be paid, or if a determination has been made against the person that remains unpaid, the tax administrator may, not later than four years after the payment becomes delinquent, give notice thereof by registered mail to all persons in the county having in their possession or under their control any credits or other personal property belonging to the delinquent or owing any debts to the delinquent. After receiving the notice, the persons so notified shall neither transfer nor make any other disposition of the credits, other personal property, or debts in their possession or under their control at the time they receive the notice until the tax administrator consents to a transfer or disposition or until 20 days elapse after receipt of the notice. All persons so notified shall, within five days after receipt of the notice, advise the tax administrator of all such credits, other personal property, or debts in their possession, under their control, or owing by them.

Except in cases of fraud, intent to evade this article or authorized rules and regulations, or failure to file a required return, the tax administrator may bring an action in the courts of this State or the United States in the name of the City, to collect any tax, penalty, interest, fee or other amount due under this Article within four years after the date the amount was required to be paid. In case of fraud, intent to evade or failure to file a required return the City may bring an action at any time permitted by law.

Sec. 66-149. – Successor Liability; tax certificate clearance.

(a) If any operator liable for any amount under this article sells, transfers, quits, or otherwise disposes of the hotel, lodging business, short-term rental, or other business subject to this article, the operator shall notify the tax administrator in writing not less than thirty (30) days before the sale, transfer, cessation, or disposition, or as soon as practicable if thirty (30) days' prior notice is not feasible.

(b) A purchaser, transferee, successor, or assignee of a hotel, lodging business, short-term rental, or other business subject to this article may request from the tax administrator a transient occupancy tax clearance certificate in accordance with Revenue and Taxation Code section 7283.5, as it may be amended, renumbered, or succeeded.

(c) Upon receipt of a written request for a transient occupancy tax clearance certificate, the tax administrator may require the current or former owner or operator to make available transient occupancy tax records for the purpose of conducting an audit to determine any tax, penalties, interest, or other amounts due and owing under this article.

(d) The tax administrator shall issue the transient occupancy tax clearance certificate, request records for an audit, complete any audit, and issue any certificate following the audit within the time periods required by Revenue and Taxation Code section 7283.5, as it may be amended, renumbered, or succeeded.

(e) If the tax administrator determines that transient occupancy tax, penalties, interest, or other amounts are due and owing, the tax administrator may issue a tax clearance certificate stating the amount of liability associated with the hotel, lodging business, short-term rental, or other business subject to this article. If records made available for audit are insufficient, incomplete, or unavailable, the tax administrator may estimate the liability based on the facts and information available.

(f) A purchaser, transferee, successor, or assignee shall withhold from the purchase price or consideration an amount sufficient to satisfy any tax, penalties, interest, or other amounts due under this article unless and until the tax administrator issues a tax clearance certificate stating that no amount is due, or the purchaser, transferee, successor, or assignee is otherwise relieved from liability under Revenue and Taxation Code section 7283.5.

(g) If a purchaser, transferee, successor, or assignee fails to withhold from the purchase price or consideration as required by this section, the purchaser, transferee, successor, or assignee shall be personally liable for payment of the amount required to be withheld to the extent provided by Revenue and Taxation Code section 7283.5.

(h) The tax administrator may charge a reasonable fee for the issuance of a transient occupancy tax clearance certificate to the extent authorized by Revenue and Taxation Code section 7283.5 or other applicable law.

(i) This section shall be administered consistently with Revenue and Taxation Code section 7283.5. If there is any conflict between this section and Revenue and Taxation Code section 7283.5, the state statute shall control.

Sec. 66-149.5. - Lien.

(a) Any tax, penalty, interest, fee or other amount required to be paid under this Article shall constitute a debt owed to the City.

(b) If any amount required to be paid under this Article remains unpaid after it becomes final, the tax administrator may record with the county recorder a certificate of lien specifying the amount of the tax, penalties, interest, fees, and other charges due, the name and last known address of the person liable for the amount, and such other information as the tax administrator determines is appropriate.

(c) From the time of recording, the amount required to be paid shall constitute a lien upon all real property in the county of Fresno owned by the person liable or thereafter acquired by that person before the lien expires. The lien shall have the force and effect, and priority of a judgment lien and shall continue for ten (10) years from the time of recording unless sooner released or otherwise discharged, and may be extended in the manner provided by law.

(d) The Tax Administrator may release the lien when the amount due has been paid or when the lien was recorded in error.

Sec. 66-150. - Disposition of tax proceeds.

The tax administrator shall deposit all moneys collected pursuant to this article to the credit of the general fund of the City.

Sec. 66-151. - Records; examination by tax administrator.

Every operator, short-term rental facilitator, and other person liable for tax or required to collect or remit tax under this article shall keep records, receipts, invoices, booking records, platform reports, exemption certificates, tax collection records, payment records, and other pertinent papers in such form as the tax administrator may require.

All records shall be retained for a period of not less than four years and six months after they come into being, or for such longer period as may be required by written notice from the tax administrator, this article, or other applicable law.

The tax administrator or any person authorized in writing by the tax administrator may examine the books, papers, records, and equipment of any person liable for the tax and may investigate the character of the business of the person in order to verify the accuracy of any return made or, if no return is made, to ascertain and determine the amount required to be paid.

Audit or examination of a short-term rental facilitator shall be conducted in accordance with Government Code section 50995 and any other applicable law. Costs associated with an audit or examination of a short-term rental facilitator under Government Code section 50995 shall be paid by the City to the extent required by that section.

Sec. 66-152. - Reports relating to rental charges, occupancy, and short-term rental listings.

In administration of the tax, the tax administrator may require the filing of reports by any person or class of persons having in their possession or custody information relating to rentals, rent, booking transactions, occupancy, or guest rooms or other lodging accommodations subject to the tax. The reports shall be filed when the tax administrator requires and shall set forth the rental charged for each occupancy, the date or dates of occupancy, the tax collected, the tax remitted, the property address, and such other information as the tax administrator may require consistent with applicable law.

Pursuant to Government Code section 50990 et seq., as amended from time to time, each short-term rental facilitator shall, upon request by the City and in the form and manner prescribed by the tax administrator, report the physical address, including nine-digit ZIP Code, of each short-term rental during the reporting period.

If the information provided by a short-term rental facilitator is not sufficient for the City to identify a specific short-term rental at the provided address, the tax administrator may request the assessor parcel number, the URL associated with the specific short-term rental listing, and information exclusively related to the identification of an accessory dwelling unit, guest house, or single unit of a timeshare or multifamily housing project located at the single address or assessor parcel number requested, to the extent authorized by Government Code section 50993 or any successor statute.

The reporting period for reports required pursuant to Government Code section 50993 shall be no more frequent than every three months within a 12-month period, unless the City requires monthly remittance of transient occupancy tax, in which case monthly reporting may be required to the extent authorized by state law.

A short-term rental facilitator shall include in the listing of a short-term rental any applicable local license, permit, or registration number associated with the short-term rental and any transient occupancy tax certification issued by the City, to the extent required by Government Code section 50994 or any successor statute.

Sec. 66-153. - Confidential nature of required records and reports; exceptions.

It is unlawful for the tax administrator or any person having an administrative duty under this article to make known in any manner the business affairs, operations, or information obtained by an investigation of records and equipment of any person required to obtain a transient occupancy registration certificate, pay a transient occupancy tax, collect or remit a transient occupancy tax, or any other person visited or examined in the discharge of official duty, or the amount or source of income, profits, losses, expenditures, or any particular thereof set forth in any statement or application, or to permit any statement or application or copy of either or any book containing any abstract or particulars thereof to be seen or examined by any person; provided, that nothing in this section shall be construed to prevent:

(1) Disclosure to or examination of records and equipment by another City official, employee, agent, consultant, or contractor for the sole purpose of administering or enforcing this article or collecting taxes imposed hereunder;

(2) Disclosure of information to or examination of records by federal or state officials or the tax officials of another city, county, or city and county if a reciprocal arrangement exists, or to a grand jury or court of law upon subpoena;

(3) Disclosure of information and results of examination of records of particular taxpayers or relating to particular taxpayers to a court of law in a proceeding brought to determine the existence or amount of any tax liability of the particular taxpayers to the City;

(4) Disclosure, after the filing of a written request to that effect, to the taxpayer or to the taxpayer's successors, receivers, trustees, executors, administrators, assignees, and guarantors, if directly interested, of information as to the items included in the measure of any paid tax, any unpaid tax, or amounts of tax required to be collected, interest, and penalties; provided, however, that the City Attorney approves each such disclosure and that the tax administrator may refuse to make any disclosure referred to in this paragraph when, in the tax administrator's opinion, the public interest would suffer thereby;

(5) Disclosure of the names and addresses of persons to whom transient occupancy registration certificates have been issued, the names and addresses of officers of corporations and members of partnerships to whom such certificates have been issued, and the general type or nature of their business;

(6) Disclosure to the legislative body by way of public meeting or otherwise of such information as may be necessary to permit it to be fully advised as to the facts when a taxpayer files a claim for refund of taxes, submits an offer of compromise regarding a claim asserted against the taxpayer by the City for taxes, or when acting upon any other matter;

(7) Disclosure of general statistics regarding taxes collected or business done in the City; or

(8) Disclosure authorized or required by Government Code section 50990 et seq., Business and Professions Code sections 17568.6 and 17568.8, the California Public Records Act, a court order, subpoena, or other applicable law.

Sec. 66-154. - Appeal from decisions of tax administrator.

Any person aggrieved by any decision of the tax administrator may appeal to the transient occupancy tax review committee by filing a notice of appeal with the tax administrator within 15 days after service or mailing of the notice of the decision. The tax administrator shall fix a time and place for hearing such appeal as prescribed by the transient occupancy tax review committee in its rules and regulations and shall give the appellant ten days' notice of the time and place of hearing.

Sec. 66-155. - Transient occupancy tax review committee created; chairman; acting members; quorum; compensation.

A transient occupancy tax review committee is created. The committee shall be composed of the mayor, city manager, and city clerk. The committee shall select from its members a chair who shall serve at its pleasure.

Any member of the committee may deputize in writing filed with the committee any member of that member's office, or in the case of the mayor, a member of the City Council, to serve in the member's place on the committee for such period or hearing as the member may desire.

A majority of the members of the committee shall constitute a quorum. The committee shall keep a record of its transactions. The committee shall be deemed to be in the office of the City Manager, shall meet and keep its files in that office, and all filings with the committee relating to appeals or otherwise shall be made at that office.

Neither the members of the committee nor persons deputized to serve in their places shall receive compensation as members or acting members for their services on the committee.

Sec. 66-156. - Powers and duties of committee.

The committee shall have the power and duty:

(1) To hear and determine appeals of orders or decisions of the tax administrator made upon petitions for redetermination of tax. The committee may affirm, modify, or reverse such orders or decisions or dismiss the appeals therefrom, as may be just, and shall prescribe forms, rules, and regulations relating to appeals as it may deem necessary. In reviewing the tax administrator's decision or order, the committee may take evidence and make such investigation as it deems necessary. It shall give notice of its determinations in the manner prescribed for service of notice of a tax administrator's decision and shall file a copy of each determination with the tax administrator with certification thereon of the date of service thereof. Such determination shall become final ten days thereafter and shall thereupon become due and payable, subject to interest and penalties, and enforceable by the tax administrator in like manner as an order or decision of the tax administrator;

(2) To approve, modify, or disapprove forms, rules, and regulations prescribed by the tax administrator in the administration and enforcement of this article, and such forms, rules, and regulations shall be subject to and become effective only upon such approval to the extent committee approval is required by this article;

(3) To hear and determine in such manner as shall be just any protest made by any person interested in any form, rule, or regulation approved or prescribed by the committee;

(4) To grant for good cause applications for extensions of time in excess of one month for making any return or payment of tax and to prescribe rules therefor; and

(5) To make such investigations as it deems advisable regarding the imposition and administration of the transient occupancy tax, report its findings to the legislative body, act in an advisory capacity to the legislative body on matters pertaining to the transient occupancy tax and enforcement problems, and recommend to the legislative body the adoption, amendment, or repeal of legislation pertaining thereto.

Sec. 66-157. - Violations; administrative penalties; civil remedies.

It is unlawful for any operator, short-term rental facilitator, or other person required to do so to fail or refuse to register, furnish any return required to be made, fail or refuse to furnish a supplemental return or other data required by the tax administrator, or render a false or fraudulent return. No person required to make, render, sign, or verify any report shall make any false or fraudulent report with intent to defeat or evade the determination of an amount due required by this article.

A failure by a short-term rental facilitator to report information required pursuant to Government Code section 50993, or any successor statute, may be made subject to an administrative fine or penalty pursuant to Government Code section 53069.4.

The remedies provided in this article are cumulative and in addition to any other remedies available at law or in equity, including civil actions, administrative citations, collection actions, injunctions, and any remedies authorized by the Sanger Municipal Code or state law.

Sec. 66-158. - Short-Term Rental Facilitator Act; future amendments; no change to tax without required approval.

The provisions of Government Code section 50990 et seq., known as the Short-Term Rental Facilitator Act of 2025, as amended, renumbered or succeeded, from time to time, are hereby incorporated into this article to the fullest extent permitted by law and made applicable within the jurisdictional boundaries of the City to the fullest extent permitted by law.

The reporting, collection, remittance, audit, examination, listing, administrative, and enforcement provisions of Government Code section 50990 et seq., as amended, supplemented, renumbered, or succeeded from time to time, are incorporated into this article to the extent they relate to transient occupancy tax administration and short-term rental facilitators.

No future amendment, supplement, renumbering, or successor statute to Government Code section 50990 et seq. shall, without further action by the City and any voter approval required by applicable law, alter the rate of tax imposed by this article, or expand the transactions or persons subject to tax beyond those authorized by this article.

Sec. 66-159. - State short-term lodging disclosure laws.

Each operator, short-term rental facilitator, marketplace, internet website, application, or other similar centralized platform, and any other person advertising, displaying, offering, facilitating, or processing payment for transient occupancy within the City shall comply with Business and Professions Code section 17568.6, Business and Professions Code section 17568.8, and any successor or related state law governing short-term lodging price transparency, disclosure of government-imposed taxes and fees before reservation, and disclosures regarding cleaning-task fees, charges, or penalties.

This section is declaratory of independently applicable state law and is intended to support local administration and enforcement. Nothing in this section shall alter the rate of tax imposed by this article, expand the tax base, impose a tax not otherwise imposed by this article, or require voter approval separate from any approval required for the tax imposed by this article.

The City Attorney is authorized to enforce Business and Professions Code sections 17568.6 and 17568.8, and any successor provisions, to the extent authorized by state law.

Sec. 66-160. Amendments.

The City Council may amend this article without further voter approval to the extent permitted by Article XIII C of the California Constitution and other applicable law. Without limiting the foregoing, the City Council may amend this article to clarify, administer, enforce, or implement the tax; to conform this article to state or federal law; to adopt or amend reporting, collection, audit, appeal, refund, electronic filing, or administrative procedures; and to implement or conform to Government Code section 50990 et seq., as amended, supplemented, renumbered, or succeeded. No such amendment shall increase the rate of tax, impose the tax on occupancy not previously subject to

the tax, or otherwise constitute a tax increase requiring voter approval unless approved in accordance with applicable law."

SECTION 2. Voter Approval; Effective Date of Tax Increase.

The increase in the transient occupancy tax to twelve percent (12%) shall take effect only upon approval by a majority of the voters of the City to the extent required by Article XIII C of the California Constitution.

SECTION 3. CEQA.

The City Council finds that this Ordinance is not a project within the meaning of the California Environmental Quality Act pursuant to State CEQA Guidelines sections 15060(c)(2), 15060(c)(3), and 15378 because it involves fiscal and administrative governmental activity that will not result in a direct or reasonably foreseeable indirect physical change in the environment. To the extent this Ordinance is deemed a project, it is exempt from CEQA pursuant to State CEQA Guidelines section 15061(b)(3).

SECTION 4. Severability.

If any section, subsection, sentence, clause, phrase, or portion of this Ordinance is held invalid or unconstitutional by a court of competent jurisdiction, that decision shall not affect the validity of the remaining portions of this Ordinance. The City Council declares that it would have adopted this Ordinance and each section, subsection, sentence, clause, phrase, and portion thereof irrespective of the fact that any one or more sections, subsections, sentences, clauses, phrases, or portions may be declared invalid or unconstitutional.

SECTION 5. Publication and Codification.

The City Clerk shall certify to the adoption of this Ordinance and shall cause the same to be published or posted in the manner required by law. The City Clerk is authorized to make non-substantive formatting, numbering, and typographical corrections necessary for codification.

SECTION 6. Effective Date.

This Ordinance shall take effect only if approved by a majority of the voters voting on the measure at the November 3, 2026 election and upon certification of the election results by the City Council. The increased tax rate shall become operative on the first day of the first calendar quarter beginning after certification of the election results, unless the City Council establishes a later operative date by resolution.